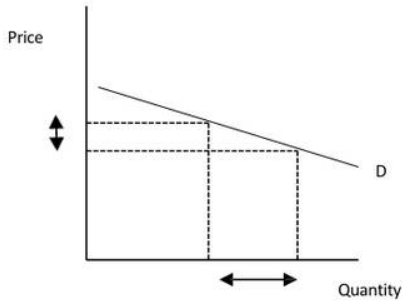
# Type MS · Draw elastic and inelastic demand or supply curves

## Answer 1 of 4 · Question 3 part c · 3 marks

2024 JUN · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

| | | |
|---|---|---|
| **3(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**B** The school-leaving age<br><br>A is not correct because this would increase the supply of labour<br>C is not correct because this would mean more people were available to work<br>D is not correct because this would affect the demand for labour | **(1)** |

| **Question number** | Which **one** of the following is the formula to calculate total revenue?<br><br>**Answer** | **Mark** |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**A** Quantity sold x price<br><br>B is not correct because this does not allow revenue to be calculated<br>C is not correct because this does not account for units sold<br>D is not correct because this does not calculate revenue | **(1)** |

| **Question number** | Using the diagram below, draw a price elastic demand (PED) curve. Label the curve and show the impact on both axes from a change in price.<br><br>**Answer** | **Mark** |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for drawing elastic demand curve, labelled<br>Award 1 mark for showing smaller price change on the axis<br>Award 1 mark for showing a greater change in the quantity on the axis<br><br>  <br> | **(3)** |

# Type MS · Draw elastic and inelastic demand or supply curves

## Answer 1 of 4 · Question 3 part c · 3 marks

2024 JUN · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

| Question number | With reference to the data above and your knowledge of economics, analyse the possible advantages for Coca-Cola of using division of labour at the factory.<br><br>**Indicative content** |
|---|---|
| **3(d)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Division of labour involves breaking down the production process into smaller tasks<br>• Each worker specialises in only one task, such as filling bottles, sealing with caps or adding labels<br>• By specialising, efficiency is improved because workers can carry out these tasks more quickly, allowing more than one million drinks to be bottled each day<br>• This leads to an increase in productivity and lower average costs of production of drinks such as Fanta and Sprite<br>• The 1,000 workers do not need to waste time moving across the 65,000m$^2$ site between tasks and so greater efficiencies are created, again lowering average production costs |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

# Type MS · Draw elastic and inelastic demand or supply curves

## Answer 1 of 4 · Question 3 part c · 3 marks

2024 JUN · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

| Question number | With reference to the data above and your knowledge of economics, assess whether supply is likely to be more price elastic for textiles than for agricultural products.<br><br>**Indicative content** |
|---|---|
| 3(e) | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Price elasticity of supply (PES) measures the responsiveness of supply to a change in price<br>• PES is affected by how quickly and easily supply can change when price changes<br>• A product has an elastic PES if the percentage change in supply is greater than the percentage change in price. The greater the difference, the more price elastic the supply of the product<br>• Supply of textiles does not depend on natural factors like the weather whereas it does for agricultural products, meaning it is easier to change supply of textiles in response to a change in price<br>• Agricultural products, such as fruit, are perishable as well as needing time to grow but textiles can be stored, meaning the supply of agricultural products is less likely to change in response to a change in price compared to the supply of textiles<br>• Supply of textiles is more price elastic because, unless you are operating at full capacity it is possible to work an extra shift and increase production<br><br>**AO4**<br><br>• However, if operating at full capacity, it takes time and a range of machinery to produce textiles, making it more difficult to change production to respond to a change in price<br>• The cost involved when producing textiles means firms may not be able to afford to produce them to store. This may make the supply of textiles less price elastic<br>• It may depend on the growing conditions in Bangladesh whether the farmers can adjust growing in response to a change in price<br>• Supply of agricultural products might be more price inelastic in the short run but in the long run producers may be able to adjust techniques to respond to changes in price more quickly |

## Type MS · Draw elastic and inelastic demand or supply curves

### Answer 1 of 4 · Question 3 part c · 3 marks

2024 JUN · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · Draw elastic and inelastic demand or supply curves

### Answer 1 of 4 · Question 3 part c · 3 marks

2024 JUN · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

| Question number | Calculate the **daily total costs** of transporting the goods to the customer. You are advised to show your working.<br><br>**Answer** | **Mark** |
|---|---|---|

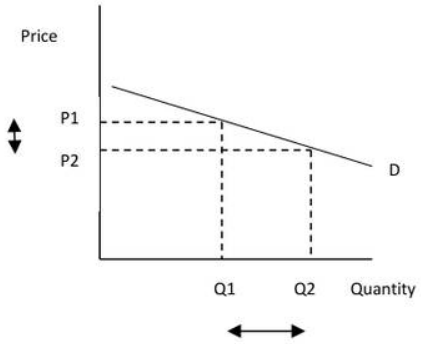
Type MS · Draw elastic and inelastic demand or supply curves

Answer 2 of 4 · Question 3 part c · 3 marks

2020 JAN · Paper 01 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

| | | |
|---|---|---|
| **3(a)** | **AO1 1 mark**<br><br>**A** A higher retirement age | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br><br>**D** Total costs / Output | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for clearly drawing an elastic demand curve<br>Award 1 mark for showing smaller price change from $P_1$ to $P_2$ on the axis<br>Award 1 mark for showing a greater change in the quantity $Q_1$ to $Q_2$ on the axis<br><br>  <br> | **(3)** |

## Type MS · Draw elastic and inelastic demand or supply curves

### Answer 2 of 4 · Question 3 part c · 3 marks

2020 JAN · Paper 01 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

| Question number | Indicative content | |
|---|---|---|
| 3(d) | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Privatisation is the transfer of activities from the public sector to the private sector<br>• The sale of previously government-owned assets can help the budget of a government<br>• Almost €1bn revenue was raised by the Slovenian Government, meaning that it is able to add funding to the country's pension system, reducing the need to raise taxes<br>• By selling government-owned assets the government may not have as much debt in the future and would therefore reduce interest payments on the national debt<br>• This would allow the government to use any other revenue to support other elements of government spending, such as education or health care | |
| **Level** | **Mark** | **Descriptor** |
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Draw elastic and inelastic demand or supply curves

### Answer 2 of 4 · Question 3 part c · 3 marks

2020 JAN · Paper 01 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

| Question number | Indicative content |
|---|---|
| 3(e) | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Price elasticity of supply (PES) measures the responsiveness of supply to a change in price<br>• A product has an elastic PES if the percentage change in supply is greater than the percentage change in price. The greater the difference, the more price elastic the supply of the product<br>• Supply of cars does not depend on natural factors such as the weather whereas it does for organic strawberries, meaning it is easier to change supply of cars in response to a change in price<br>• Organic strawberries are perishable and need time to grow but cars can be stored, meaning the supply of organic strawberries is less likely to change in response to a change in price compared to the supply of cars<br>• Cars are more price elastic because unless you are operating at full capacity it is possible to work an extra shift and increase production<br><br>**AO4**<br><br>• However, it takes time and a large amount of technical equipment to build cars making it more difficult to change production to respond to a change in price<br>• There is a high cost involved when producing cars so firms may not be able to afford to make them to store. This may make the supply of cars less price elastic<br>• It may depend on the growing conditions in the Republic of Korea whether the farms can adjust growing in response to a change in price<br>• There are 28,951 organic farms in the country which may collectively allow the farmers of organic strawberries to be more responsive to price changes<br>• Supply of organic strawberries might be more price elastic in the short run but in the long run car manufacturers may be able to adjust production facilities to respond to changes in price more quickly |

## Type MS · Draw elastic and inelastic demand or supply curves

### Answer 2 of 4 · Question 3 part c · 3 marks

2020 JAN · Paper 01 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · Draw elastic and inelastic demand or supply curves

### Answer 2 of 4 · Question 3 part c · 3 marks

2020 JAN · Paper 01 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|

Type MS · Draw elastic and inelastic demand or supply curves

Answer 3 of 4 · Question 3 part c · 3 marks

2023 JAN · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

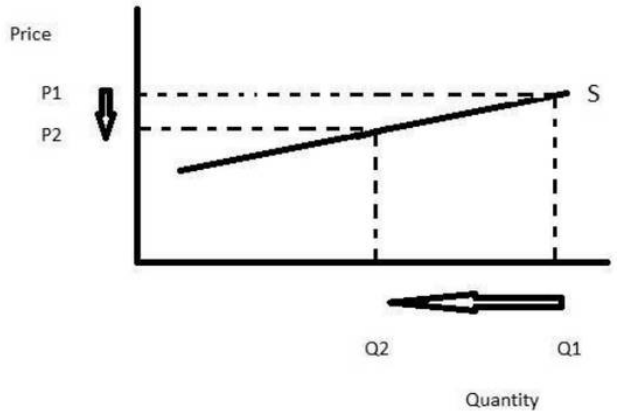
| | | |
|---|---|---|
| **3(a)** | **AO1 1 mark**<br>The only correct answer is:<br>**C** Shelter<br><br>A is not correct because this is an economic want<br>B is not correct because this is a luxury<br>D is not correct because this is not required to sustain life | **(1)** |

| **Question number** | Which one of the following is an example of an external benefit?<br><br>**Answer** | **Mark** |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br>The only correct answer is:<br>**A** Education<br><br>B is not correct because this is an external cost<br>C is not correct because this is regarded as a disadvantage<br>D is not correct because it has a negative impact on the future | **(1)** |

## Type MS · Draw elastic and inelastic demand or supply curves

### Answer 3 of 4 · Question 3 part c · 3 marks

2023 JAN · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

| Question number | Draw a supply curve on the diagram below that has price elastic supply (PES). Label the impact of a price change from P1 to P2 and its impact on quantity from Q1 to Q2 .<br><br>**Answer** | Mark |
|---|---|---|
| 3(c) | **AO2 3 marks**<br><br>Award 1 mark for drawing elastic supply curve, labelled<br>Award 1 mark for showing smaller price change from $P_1$ to $P_2$ on the axis<br>Award 1 mark for showing a greater change in the quantity $Q_1$ to $Q_2$ on the axis<br><br>  <br> | **(3)** |

## Type MS · Draw elastic and inelastic demand or supply curves

### Answer 3 of 4 · Question 3 part c · 3 marks

2023 JAN · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

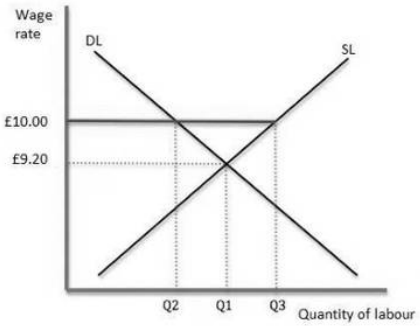
| **Question number** | With reference to the data above and your knowledge of economics, analyse why the UK Government might provide flood defences.<br><br>**Indicative content** |
|---|---|
| **3(d)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Without the government intervention of the flood defence system, the River Calder flooding may continue, causing firms to shut down, residents to lose their homes and an increase in damaged infrastructure<br>• The UK Government made the £32m investment in a flood defence scheme because residents, businesses and infrastructure in Calderdale had repeatedly suffered from flood damage<br>• The UK Government is likely to provide goods and services that the private sector would be unwilling to provide because of the lack of profit<br>• Flood defences in Calderdale are an example of market failure because the private sector is unlikely to provide resources needed to manage the problem in sufficient quantities<br>• Flood defences are an example of public goods that are provided by the government and have characteristics of being non-rivalry and non-excludable<br>• Failure to provide flood defences would increase the need for individuals and firms to rely on the UK Government financially |

| **Level** | **Mark** | **Descriptor** |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

# Type MS · Draw elastic and inelastic demand or supply curves

## Answer 3 of 4 · Question 3 part c · 3 marks

2023 JAN · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

| **Question number** | With reference to the data above and your knowledge of economics, assess the impact of trade union activity on Morrisons and its employees.<br><br>**Indicative content** |
|---|---|
| **3(e)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• A trade union is an organisation which represents the employees in an industry<br>• It aims to protect workers' rights, increase wages, provide legal assistance, put pressure on governments to legislate in favour of employees and improve working conditions<br>• Trade union, Usdaw negotiated an hourly wage increase for the 110,000 workers at Morrisons supermarkets of nearly 9%<br>• An increase in the wage rate may lead to inefficiency and unemployment<br>• This is because the wage increase at the supermarket will mean higher costs for the firm. It may therefore, try to reduce costs by employing fewer workers<br>• Possible use of a diagram<br>  <br><br><br>**AO4**<br><br>• However, the wage rate increase of at least £0.80 per hour may increase productivity<br>• This means Morrisons may be able to maintain the number of workers it employs because, increased productivity would not result in higher costs due to the wage increase<br>• As Morrisons is a leading supermarket, it may be able to pass some of the higher wage rate costs on to consumers in the form of increased prices<br>• This may depend whether the products sold are price inelastic in demand |

## Type MS · Draw elastic and inelastic demand or supply curves

### Answer 3 of 4 · Question 3 part c · 3 marks

2023 JAN · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · Draw elastic and inelastic demand or supply curves

### Answer 3 of 4 · Question 3 part c · 3 marks

2023 JAN · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

| Question number | When the current level of output is 250 units of consumer goods, calculate the opportunity cost of producing an additional 40 units of consumer goods. You are advised to show your working.<br><br>**Answer** | **Mark** |
|---|---|---|

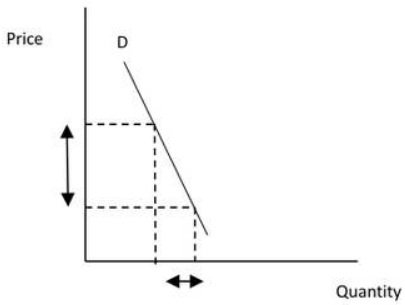
## Type MS · Draw elastic and inelastic demand or supply curves

### Answer 4 of 4 · Question 3 part c · 3 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

| | | |
|---|---|---|
| **3(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>A Farmer<br><br>B is not correct because this is secondary<br>C is not correct because this is tertiary<br>D is not correct because this is the tertiary sector | **(1)** |

| **Question number** | Total revenue can be defined as the quantity of goods sold<br><br>**Answer** | **Mark** |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br><br>**C** multiplied by the price<br><br>A is not correct because this does not allow total revenue to be calculated<br>B is not correct because this does not define total revenue<br>D is not correct because this does not calculate revenue | **(1)** |

| **Question number** | Using the diagram below, draw a diagram to show a demand curve that has price inelastic demand. Label the curve and show the impact on both axes from a change in price.<br><br>**Answer** | **Mark** |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for drawing inelastic demand curve, labelled<br>Award 1 mark for showing greater price change on the axis<br>Award 1 mark for showing a smaller change in the quantity on the axis<br><br>  <br> | **(3)** |

## Type MS · Draw elastic and inelastic demand or supply curves

### Answer 4 of 4 · Question 3 part c · 3 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

| Question number | With reference to the data above and your knowledge of economics, analyse the possible advantages of privatisation for TAP Air.<br><br>**Indicative content** |
|---|---|
| **3(d)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Privatisation is the act of selling a firm controlled by the government to private investors<br>• TAP Air may benefit from investment in the airline from private investors wanting to put a structure in place capable of maximising profit<br>• This means that there may be more money available to allow the airline to become more established and increase sales of flights to passengers, possibly expanding further than the operations in Portugal<br>• In addition, an objective of profit maximisation may enable efficiency to improve within the airline and lower costs<br>• Greater efficiency may also be enjoyed through less bureaucracy and political interference from the Portuguese Government, especially if the new owners are more experienced in operating an airline |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Draw elastic and inelastic demand or supply curves

### Answer 4 of 4 · Question 3 part c · 3 marks

2024 JUN · Paper 01 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, assess whether an increase in the price of Prime Hydration is always likely to lead to an increase in total revenue for retailers.<br><br>**Indicative content** |
|---|---|
| 3(e) | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Price elasticity of demand (PED) measures the responsiveness of demand to a change in price<br>• A product has an inelastic PED if the percentage change in demand is less than the percentage change in price. The greater the difference, the more price inelastic the demand for the product<br>• At its launch, Prime Hydration was very popular, especially with teenagers, in part due to the association with celebrities KSI and Logan Paul<br>• These factors are likely to lead to an inelastic PED, especially due to the lack of substitutes and relatively low proportion of income spent on the drink<br>• When there is a price increase, for example from £1.99 to £8.25 (315% increase), a product with an inelastic PED is likely to lead to a higher total revenue<br>• This is due to demand falling by a lower percentage than the increase in price<br>• Therefore, retailers selling Prime Hydration at increased prices are likely to receive more in total revenue<br><br>**AO4**<br><br>• However, if availability is not guaranteed, products cannot be sold and revenue cannot be gained<br>• Over time demand is likely to become more price elastic<br>• This may be due to consumers finding alternative products, supply increasing or because the drink may go out of fashion and/or the YouTube celebrities may no longer be as popular<br>• It may depend on how much the price increases because demand is based on a consumer's ability and willingness to buy the drink<br>• Therefore, if the price was increased too much, some consumers would no longer be able to afford to buy the drink and some would no longer be willing, as other products would be more of a necessity<br>• As a result, an increase in price of Prime Hydration may only lead to an increase in total revenue in the short term |

## Type MS · Draw elastic and inelastic demand or supply curves

### Answer 4 of 4 · Question 3 part c · 3 marks

2024 JUN · Paper 01 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · Draw elastic and inelastic demand or supply curves

### Answer 4 of 4 · Question 3 part c · 3 marks

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| Question number | Calculate the **total variable costs** of this order for the firm.<br>You are advised to show your working.<br><br>**Answer** | Mark |
|---|---|---|